

Calculating Depreciation

An investor buys a *residential*, income-producing property. The building is valued at \$400,000. What is the depreciated value after one year?

① Annual depreciation rate

= $1 \div \text{number of years to depreciation}$

$$1 \div 27.5 =$$

$$0.036 \text{ (or 3.6\%)}$$

Residential depreciation: 27.5 years

Commercial depreciation: 39 years

② Annual depreciation amount

= original value $\times$ depreciation rate

$$\$400,000 \times 0.036 =$$

$$\$14,400$$

③ New value

= original value $- [\text{depreciation amount} \times \text{number of years}]$

$$\$400,000 - [\$14,400 \times 1] =$$

$$\$400,000 - \$14,400$$

$$\boxed{\$385,600}$$